

Ring-fenced Bodies

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a ring-fenced body.

1.2

In this Part, the following definitions shall apply:

arm's length policy

means the policy established in accordance with 12.2.

arm's length procedures

means the procedures established in accordance with 12.2.

central securities depository

has the meaning set out in Article 2.1(1) of Regulation (EU) No 909/2014, and includes a ?securities settlement system? as defined in that regulation.

means a relationship:

1. (1) of marriage or civil partnership ; or
2. (2) which has the characteristics of a relationship of marriage or of civil partnership ; or
3. (3) between a person referred to in 1.3(2)(d) and his or her parent, sibling, child, grandparent or grandchild, including a step-relationship in each case.

common equity tier 1 capital ratio

has the meaning in Article 92(2)(a) of the CRR.

collateral exception

means:

1. (1) in relation to an excluded activity , the exception provided for in Article 6(3)(b) of the Excluded Activities and Prohibitions Order ; or
2. (2) in relation to a prohibition , the exception provided for in Article 14(5) of the Excluded Activities and Prohibitions Order.

collateral exceptions policy

means a policy document setting out in detail how a _ring-fenced body_ makes use of the _collateral exceptions_ and which meets the requirements of 17.

collateral exception transaction

means a transaction entered into by making use of a _collateral exception_.

conduit vehicle

has the meaning in Article 1 of the _Excluded Activities and Prohibitions Order_.

distribution

has the meaning in section 829 of the Companies Act 2006.

exception

means:

1. (1) the _hedging exception_ ;
2. (2) the _liquid asset exception_ ; and
3. (3) the _collateral exception_.

exceptions policy

means:

1. (1) the _hedging exceptions policy_ ;
2. (2) the _liquid asset exceptions policy_ ; and
3. (3) the _collateral exceptions policy_.

exception transaction

means a transaction entered into in accordance with any of the following:

1. (1) _hedging exception_ ;
2. (2) _liquid asset exception_ ; and
3. (3) _collateral exception_.

extraordinary vacancy

means a vacancy on the _governing body_ of a _ring-fenced body_ arising from the resignation, dismissal or death of an independent _non-executive director_ before the expiry of his or her term of appointment as a _director_.

FMI

means any of the following: an _interbank payment system_ , a _central securities depository_ or a _central counterparty_.

group services entity

in relation to a _ring-fenced body_ , means an entity within the same _group_ as the _ring-fenced body_ , whose only business is to provide services or facilities to any other _person_.

hedging exception

means:

1. (1) in relation to an _excluded activity_ , the exception provided for in Article 6(1) of the _Excluded Activities and Prohibitions Order_ ; or
2. (2) in relation to a _prohibition_ , the exception provided for in Article 14(2) of the _Excluded Activities and Prohibitions Order_.

hedging exceptions policy

means a policy document setting out in detail how a _ring-fenced body_ makes use of the _hedging exceptions_ and which meets the requirements of 17.

hedging exception transaction

means a transaction entered into in accordance with a _hedging exception_.

income-dependent

means a state in which the _ring-fenced body_ would be unable to continue to carry on _core activities_ if income to the _ring-fenced body_ or any member of the _sub-consolidation group_ were to reduce as a result of the acts, omissions or insolvency of a member of the _ring-fenced body's_ _group_ that is not a _ring-fenced affiliate_.

interbank payment system

has the meaning in Article 13(11) of the _Excluded Activities and Prohibitions Order_.

intragroup transaction

has the meaning in Article 3 of Regulation (EU) No 648/2012.

liquid asset exception

means:

1. (1) in relation to an _excluded activity_ , the exception provided for in Article 6(3)(a) of the _Excluded Activities and Prohibitions Order_ ; or
2. (2) in relation to a _prohibition_ , the exceptions provided for in Article 14(3A) and Article 18(b) of the _Excluded Activities and Prohibitions Order_.

liquid asset exceptions policy

means a policy document setting out in detail how a _ring-fenced body_ makes use of the _liquid asset exceptions_ and which meets the requirements of 17.

liquid asset exception transaction

means a transaction entered into in accordance with a _liquid asset exception_.

participant

has the meaning set out in Article 2.1(19) of Regulation (EU) No 909/2014.

permitted supplier

means a _person_ that provides services or facilities to any other _person_ and that is:

1. (1) a _group services entity_ ; or
2. (2) a _ring-fenced affiliate_.

prohibition

means a prohibition imposed under the _Excluded Activities and Prohibitions Order_.

related undertaking

has the meaning in Article 1(4) of the _Excluded Activities and Prohibitions Order_.

relevant person

means:

1. (1) a _ring-fenced body_ ;
2. (2) any other _firm_ that is a member of a _sub-consolidation group_ ; or
3. (3) a _ring-fenced holding company_.

ring-fenced affiliate

means:

1. (1) in relation to a _ring-fenced body_ , any member of the _sub-consolidation group_ of which the _ring-fenced body_ is a member, other than the _ring-fenced body_ itself; and
2. (2) in relation to a _relevant person_ , any member of the _sub-consolidation group_ of which the _relevant person_ is a member, other than the _relevant person_ itself.

ring-fencing obligation

means any obligation, prohibition or other requirement imposed on a _ring-fenced body_ by or under _FSMA_ by virtue of it being a _ring-fenced body_ , including any statutory instrument made under _FSMA_ and any _ring-fencing rule_ , but not including any _rule_ made by _the FCA_.

shared collateral

means collateral on which both the _ring-fenced body_ and a member of its _group_ that is not a _ring-fenced affiliate_ have a claim.

specified factor

means:

1. (1) in relation to an _excluded activity_ , any of the factors set out in Article 6(2) of the _Excluded Activities and Prohibitions Order_ ; or
2. (2) in relation to a _prohibition_ , any of the factors set out in Article 14(3) of the _Excluded Activities and Prohibitions Order_.

sponsored structured finance vehicle

has the meaning in Article 1 of the _Excluded Activities and Prohibitions Order_.

tier 1 capital ratio

has the meaning in Article 92(2)(b) of the _CRR_.

total capital ratio

has the meaning in Article 92(2)(c) of the _CRR_.

transaction

includes any contract, transaction, or arrangement, which may or may not contain contractual terms.

1.3

For the purposes of this Part:

1. (1) a _director_ is regarded as independent if he or she is not disqualified by virtue of falling within any of 1.3(2)(a) to (h).
2. (2) a _director_ is not regarded as independent if he or she:
 1. (a) has been an _employee_ of the _ring-fenced body_ or of any other member of its _group_ within the period of five years before his or her appointment as a _director_ (but a non-executive _director_ is not to be regarded as an _employee_ for this purpose);
 2. (b) has, or has had, within the period of three years before appointment, a material business relationship with the _ring-fenced body_ or any other member of its _group_ either directly, or as a partner, shareholder, _director_ or as a member of _senior management_ or equivalent of an _undertaking_ that has such a relationship with the _ring-fenced body_ or other member of its _group_, as the case may be;
 3. (c) has received or receives fixed or variable _remuneration_ from the _ring-fenced body_ or any other member of its _group_, other than a _director's_ fee or _remuneration_ attributable to a period of service that concluded five years before his or her appointment as a _director_;
 4. (d) has a _close family tie_ with any of the following:
 1. (i) an individual who provides or has provided professional or business advice (whether in his or her individual capacity or otherwise) to the _ring-fenced body_ or any other member of its _group_;
 2. (ii) a _director_ of the _ring-fenced body_ or of any other member of its _group_; or
 3. (iii) a member of _senior management_ or equivalent of the _ring-fenced body_ or of any other member of its _group_;
 5. (e) holds a directorship in any other _undertaking_ that is not a member of the _ring-fenced body's_ _group_ of which any other _director_ of the _ring-fenced body_ is also a _director_;
 6. (f) has a link, of a nature that might reasonably be expected to give rise to a conflict that is to be identified under 3.2, with any other _director_ of the _ring-fenced body_ through involvement in any other _undertaking_ that is not a member of the _ring-fenced body's_ _group_;
 7. (g) can reasonably be identified as representing or otherwise associated with the interests of a particular shareholder or shareholders of a _parent undertaking_ of the _ring-fenced body_ where that shareholder is or those shareholders are able to exercise significant influence over the management of the _parent undertaking_; or
 8. (h) has served on the _governing body_ of the _ring-fenced body_ or of any other member of its _group_ for more than nine years from the date of first election.

1.4

Unless otherwise defined, any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_.

2

Application of Rules Within a Sub-Consolidation Group

2.1

In this Chapter, 'relevant rule' refers to each of the rules in:

1. (1) 3.5;
2. (2) 9.1; and
3. (3) 11, 12, 13, 14, 15 and 16.

2.2

Subject to 2.3 and 2.4:

1. (1) a 'relevant person' that is not a 'ring-fenced body' must comply with each relevant rule as if it were a 'ring-fenced body'; and
2. (2) a 'relevant person' must ensure each of its 'ring-fenced affiliates' that is not a 'relevant person' complies with each relevant rule as if it were a 'ring-fenced body'.

2.3

In applying this Chapter to 11, the notice required under 11.1 must be provided only by a 'relevant person'.

2.4

In applying this Chapter to 12, compliance by a 'ring-fenced body' (RB) with 12.2 to 12.4 in relation to a 'ring-fenced affiliate' (RA) that is not a 'ring-fenced body' is sufficient to establish compliance by any 'relevant person' that is a 'ring-fenced affiliate' of RB with those 'rules' in relation to RA.

2.5

Without prejudice to 2.2, a 'ring-fenced body' that is required under Article 11(5) of the 'CRR' to comply with obligations on a 'sub-consolidated basis' must ensure that:

1. (1) responsibility for the matters in 2.6 is allocated to:
 1. (a) a single 'ring-fenced body' in its 'sub-consolidation group'; or
 2. (b) the 'ring-fenced holding company' but only if a 'person' employed by it or an 'officer' of it performs a 'PRA senior management function' in relation to a 'ring-fenced body' in the 'sub-consolidation group'; and
2. (2) the allocation is documented and notified to the 'PRA'.

* Future version of 2.5 after 01/01/2027

2.6

The matters referred to in 2.5(1) are:

1. (1) ensuring the performance by each 'ring-fenced body' of its 'ring-fencing obligations'; and
2. (2) ensuring the performance by each 'relevant person' in the 'sub-consolidation group' of its obligations under 2.2.

2.7

Without prejudice to 2.2, the 'person' allocated with responsibility under 2.5(1) must:

1. (1) discharge the responsibility; and
2. (2) document and keep updated the arrangements and processes that enable it to discharge the responsibility.

2.8

Without prejudice to 3.4, the _person_ allocated with responsibility under 2.5(1) must be able to demonstrate to the _PRA_ :

1. (1) compliance with _ring-fencing obligations_ by any _ring-fenced body_ within the _sub-consolidation group_ ;
2. (2) compliance with relevant rules by any _ring-fenced affiliate_ , other than a _ring-fenced body_ , as if it were a _ring-fenced body_ , subject to 2.3 and 2.4;
3. (3) compliance with 10.1 by any _ring-fenced affiliate_ that is not a _ring-fenced body_ but is a _CRR firm_ ; and
4. (4) the extent to which any _ring-fenced body_ within the _sub-consolidation group_ and its _ring-fenced affiliates_ have acted, if they have chosen to do so, in accordance with any guidance given by the _PRA_ relating to _ring-fenced bodies_ or _ring-fenced affiliates._

3

General Rules

3.1

A _ring-fenced body_ must, in carrying on its business, ensure that it is able to take decisions independently of other members of its _group_.

3.2

A _ring-fenced body_ must establish and maintain arrangements to identify and manage any conflict between:

1. (1) any duty a _director_ or a member of _senior management_ owes to the _ring-fenced body_ ; and
2. (2) any interest of the _director_ or member of _senior management_.

3.3

A _ring-fenced body_ must take all reasonable steps to identify and manage any conflict between its interests and those of one or more members of its _group_.

3.4

A _ring-fenced body_ must be able to demonstrate to the _PRA_ :

1. (1) its compliance with every _ring-fencing obligation_ ; and
2. (2) the extent to which it has acted, if it has chosen to do so, in accordance with any guidance given by the _PRA_ to _ring-fenced bodies_ and which relates to the operation of the _ring-fencing obligations_.

3.5

A _ring-fenced body_ must ensure, as far as reasonably practicable, it applies the same standards to the management of its:

1. (1) exposures to any member of its _group_ that is not a _ring-fenced affiliate_ as it would to the management of its exposures to any _person_ that is not a member of its _group_ ; and
2. (2) _transactions_ with any member of its _group_ that is not a _ring-fenced affiliate_ as it would to the management of its _transactions_ with any _person_ that is not a member of its _group_ ,

to ensure that the carrying on of _core activities_ is not adversely affected by the acts, omissions or insolvency of that other _group_ member.

4

Board Composition and Membership

4.1

A _ring-fenced body_ must ensure that at least half of the members for the time being of its _governing body_ are independent _non-executive directors_.

4.2

For the purposes of 4.1:

1. (1) the chairperson of a _ring-fenced body?s_ _governing body_ is not to be counted as one of the number of independent _non-executive directors_ or as one of the total number of members for the time being of the _governing body_ ; and
2. (2) where an _extraordinary vacancy_ arises which, if not filled, would cause the _ring-fenced body_ to fail to comply with 4.1, the _ring-fenced body_ must fill the vacancy as soon as reasonably possible after the vacancy has arisen, and will not be in breach of 4.1 while it is in the course of so doing.

4.3

A _ring-fenced body_ must ensure that the _person_ performing the _Chair of the Governing Body function_ :

1. (1) is an independent _non-executive director_ ; and
2. (2) does not chair the _governing body_ of any other member of the _ring-fenced body?s_ _group_ , other than a _ring-fenced affiliate_.

4.4

A _ring-fenced body_ must ensure that no more than one-third of the members of its _governing body_ are _employees_ or _directors_ of any other member of the _ring-fenced body?s_ _group_ , other than of a _ring-fenced affiliate_.

4.5

A _ring-fenced body_ must ensure that it publicly advertises every vacancy for an independent _non-executive director_ so as to bring the existence of the vacancy to the notice of those members of the public who might reasonably be expected to seek nomination.

4.6

4.5 does not apply if an _extraordinary vacancy_ arises in the office held by the _person_ performing the _Chair of the Governing Body function_ of a _ring-fenced body_.

4.7

A _ring-fenced body_ must ensure that none of its _senior management_ who is a member of its _governing body_ is an executive member of the _governing body_ of any other member of the _ring-fenced body?s_ _group_ , other than a member that is:

1. (1) a body corporate falling within section 192JA(2) of _FSMA_ ; or
2. (2) a _ring-fenced affiliate_.

4.8

For the purpose of 4.7, ?executive member? means a _person_ who performs any executive function in relation to the relevant member of the _ring-fenced body_ ?s _group_.

5

Risk Management

5.1

A _ring-fenced body_ must ensure that its risk committee includes a _person_ performing the _Chair of Risk Committee function_.

5.2

A _ring-fenced body_ must ensure that the _person_ performing the _Chair of Risk Committee function_ does not chair any committee whose functions include oversight of the risk function of any other member of the _ring-fenced body?s_ _group_ , other than a _ring-fenced affiliate_.

5.3

A _ring-fenced body_ must ensure that:

1. (1) its risk management function has sufficient resources to perform its role, including the identification, monitoring and management of risk;
2. (2) those resources are at all times identifiable as performing the risk management function for the _ring-fenced body_ ; and
3. (3) its risk management function supports the ability of the _ring-fenced body_ to comply with 3.1.

5.4

A _ring-fenced body_ must ensure that a _person_ performing the _Chief Risk function_ for the _ring-fenced body_ is not also a _person_ performing the _Chief Risk function_ or function equivalent to the _Chief Risk function_ (howsoever designated) for any other member of the _ring-fenced body?s_ _group_ or for the _group_ , other than for a _ring-fenced affiliate_ or for the _sub-consolidation group_.

6

Internal Audit Policy

6.1

A _ring-fenced body_ must ensure that its _audit committee_ includes a _person_ performing the _Chair of Audit Committee function_.

6.2

A _ring-fenced body_ must ensure that the _person_ performing the _Chair of Audit Committee function_ does not chair any committee whose functions include oversight of the audit function of any other member of the _ring-fenced body?s_ _group_ , other than a _ring-fenced affiliate_.

6.3

A _ring-fenced body_ must ensure that:

1. (1) its internal audit function has sufficient resources to perform its role;

2. (2) those resources are at all times identifiable as performing the internal audit function for the _ring-fenced body_ ; and
3. (3) its internal audit function supports the ability of the _ring-fenced body_ to comply with 3.1.

6.4

A _ring-fenced body_ must ensure that a _person_ performing the _Head of Internal Audit function_ for the _ring-fenced body_ :

1. (1) is not also a _person_ performing the _Head of Internal Audit function_ or function equivalent to the _Head of Internal Audit function_ (howsoever designated) for any other member of the _ring-fenced body?s_ _group_ or for the _group_ , other than for a _ring-fenced affiliate_ or for the _sub-consolidation group_ ; and
2. (2) is able to have direct access to the _management body_ of the _ring-fenced body_ where he or she considers it necessary.

7

Human Resources Policy

7.1

A _ring-fenced body_ must ensure that its nomination committee includes a chairperson.

7.2

A _ring-fenced body_ must ensure that the chairperson of its nomination committee does not chair any committee whose functions include nomination for any other member of the _ring-fenced body?s_ _group_ , other than a _ring-fenced affiliate_.

7.3

A _ring-fenced body_ must ensure as far as reasonably practicable that, in carrying on its business, it does not depend on any _employee_ who may cease to be available to undertake work for the _ring-fenced body_ in the event of the insolvency of any other member of its _group_ and that this is reflected in its human resources policy.

8

Remuneration Policy

8.1

A _ring-fenced body_ must establish a _remuneration_ committee that comprises only members of its _management body_ who do not perform any executive function in relation to the _ring-fenced body_.

8.2

A _ring-fenced body_ must ensure that its _remuneration_ committee includes a _person_ performing the _Chair of Remuneration Committee function_.

8.3

A _ring-fenced body_ must ensure that the _person_ performing the _Chair of Remuneration Committee_ function does not chair any committee whose functions include _remuneration_ for any other member of the _ring-fenced body?s_ _group_ , other than for a _ring-fenced affiliate_.

8.4

When establishing, implementing and maintaining _remuneration_ policies, practices and procedures for its employees, a _ring-fenced body_ must ensure that these _remuneration_ policies, practices and procedures:

1. (1) are consistent with and promote the sound and effective risk management of the _ring-fenced body_ ;
2. (2) do not encourage risk-taking that exceeds the level of tolerated risk of the _ring-fenced body_ ;
3. (3) are in line with the business strategy, objectives, values and long-term interests of the _ring-fenced body_ ; and
4. (4) do not encourage a _ring-fenced body_ to bear any risk that would undermine its ability to comply with any _ring-fencing obligation_.

8.5

Nothing in 8.4 restricts a _ring-fenced body_ from enabling the receipt by its _employees_ of _remuneration_ in the form of shares or other instruments of another member of the _ring-fenced body's_ _group_ , provided that the receipt of such _remuneration_ is in accordance with 8.4.

9

Continuity of Provision of Services

9.1

1. (1) Where a _ring-fenced body_ receives services and accesses facilities that it requires on a regular basis from an entity in its _group_ , it may do so, whether directly or indirectly, only where that entity is a _permitted supplier_.
2. (2) (1) does not apply to the extent the _group_ member is:
 3. 1. (a) a direct _participant_ in an _FMI_ ; and
 2. (b) acting as an intermediary for the _ring-fenced body_ to access the _FMI_.
4. (3) For the avoidance of doubt:
 5. 1. (a) the definition of _central counterparty_ applies for the purposes of this Chapter whether or not the _central counterparty_ is regulated by Regulation (EU) No. 648/2012, or is established in an _EEA state_ or elsewhere; and
 2. (b) the definitions of _central securities depository_ and _participant_ apply for the purposes of this Chapter whether or not the _central securities depository_ or _participant_ is regulated by Regulation (EU) No. 909/2014, or is established in an _EEA state_ or elsewhere.

9.2

A _ring-fenced body_ must ensure the agreement and any related arrangement under which it receives services or accesses facilities it requires in relation to the carrying on of _core activities_ does not permit any other party to terminate, suspend or materially alter the services or facilities or the agreement or arrangement as a result of an act, omission or deterioration in the financial circumstances of another entity within the same _group_ as the _ring-fenced body_.

9.3

1. (1) 9.3(2) applies if the ability of a _permitted supplier_ (PS1) that provides services or facilities referred to in 9.2 to a _ring-fenced body_ is dependent upon the provision of services or facilities to PS1 by another _permitted supplier_ (PS2), whether the provision of services or facilities to PS1 by PS2 is direct or indirect.
2. (2) 9.2 does not prevent the _ring-fenced body_ agreeing PS1 may suspend or alter the provision of those services or facilities to the extent it is prevented from providing those services or facilities as a result of a deterioration in the financial circumstances of PS2, provided:
 1. (a) the _ring-fenced body_ takes all reasonable steps before and after entering into that agreement to reduce the

probability and likely impact of such an alteration to the provision of those services or facilities; and

2. (b) the agreement requires PS1 to use its best efforts to eliminate or reduce the effect of any such suspension or alteration.

10

Intragroup Credit Valuation Adjustment Risk

10.1

A ring-fenced body and a ring-fenced affiliate that is a CRR firm must include an intragroup transaction in its calculation of its own funds requirements for credit valuation adjustment risk in accordance with Part 3, Title VI of the CRR where the intragroup transaction is entered into with a member of its group that is not a ring-fenced affiliate.

10.2

A ring-fenced body that is required under Article 11(5) of the CRR to comply with obligations on a sub-consolidated basis must comply with 10.1 on that sub-consolidated basis.

[Note: Art. 382(4)(b) of the CRR]

* Future version of 10.2 after 01/01/2027

11

Distributions

11.1

A ring-fenced body must not make a distribution to any entity in its group that is not a ring-fenced affiliate unless it has given reasonable notice to the PRA of its intention to make the payment.

11.2

When a ring-fenced body gives notice under 11.1 it must include the following:

1. (1) the amount of the intended distribution ;
2. (2) the date on which the distribution is intended to be paid;
3. (3) the current common equity tier 1 capital ratio , tier 1 capital ratio and total capital ratio held by each ring-fenced body in its group ; and
4. (4) any relevant supporting information, including an assessment of any impact of the intended distribution on the current and forecast capital position of each ring-fenced body in its group.

11.3

The information in 11.2(3) and (4) must also be provided on a sub-consolidated basis in respect of any ring-fenced body that is required under Article 11(5) of the CRR to comply with obligations on a sub-consolidated basis.

* Future version of 11.3 after 01/01/2027

11.4

The information in 11.2 must be approved by an appropriate PRA approved person who performs a controlled

function_ in relation to a _firm_ in the _sub-consolidation group_ and that _PRA approved person_ must be named in the notice.

12

Arm's Length Transactions

12.1

A _ring-fenced body_ must enter into a _transaction_ with a member of its _group_ which is not a _ring-fenced affiliate_ only on arm's length terms.

12.2

A _ring-fenced body_ must establish, implement and maintain an effective policy and procedures to identify and evaluate _transactions_ entered into with other members of its _group_ which are not _ring-fenced affiliates_ to enable compliance with 12.1.

12.3

A _ring-fenced body's_ _arm's length policy_ must at least:

1. (1) establish robust means for identification, timely recording and monitoring of all _transactions_ entered into with other _group_ members which are not _ring-fenced affiliates_ ;
2. (2) specify how the terms of a _transaction_ will be determined, including pricing and settlement;
3. (3) specify appropriate governance arrangements for amendments to the policy and procedures;
4. (4) specify processes for approval and reporting of exceptions to the policy and procedures; and
5. (5) include procedures for dispute resolution between the _ring-fenced body_ and members of its _group_ which are not _ring-fenced affiliates_ with which it transacts.

12.4

1. (1) A _ring-fenced body's_ _arm's length procedures_ must include at least:

1. (a) approval of the _arm's length policy_ by its _governing body_ ;
 2. (b) review by the _governing body_ of the _arm's length policy_ at least annually taking into account the report of the internal audit function under (e) and the reports under (c);
 3. (c) the provision of internal reports to its _governing body_ on the operation of the _arm's length policy_ including the extent to which the _ring-fenced body's_ _transactions_ comply with its _arm's length policy_ ;
 4. (d) assessment of the following matters by its internal audit function at least annually in relation to an appropriate subset of transactions:
 1. (i) the extent to which the _arm's length policy_ complies with the requirements of this Chapter;
 2. (ii) the effectiveness of the _arm's length policy_ ; and
 3. (iii) the effectiveness of the procedures established in compliance with this Chapter.
 5. (e) provision of a report from the internal audit function to the _governing body_ at least annually on its assessment of the matters in 12.4(1)(d).
2. (2) A _ring-fenced body_ must ensure the scope of its internal audit function's assessment of the matters in (1)(d) includes all subsets of transactions at least once every three years.

13

Income Dependence

13.1

A _ring-fenced body_ must not, as far as reasonably practicable, become _income-dependent_ due to income generated from:

1. (1) transactions entered into with members of its _group_ that are not _ring-fenced affiliates_ ; or
2. (2) transactions entered into with a customer, or customers, where that income is contingent, or likely to be contingent, on services continuing to be provided to that customer, or customers, by members of the _ring-fenced body?s _group_ that are not _ring-fenced affiliates_.

14

Netting Arrangements

14.1

A _ring-fenced body_ must not enter into a netting arrangement if the effect of the netting arrangement is to permit a _person_ , other than a member of the _ring-fenced body?s _group_ , to offset its liabilities to the _ring-fenced body_ against its claims on any member of the _ring-fenced body?s _group_ that is not a _ring-fenced affiliate_ in the event of default of any party to the netting arrangement.

15

Availability of Shared Collateral

15.1

A _ring-fenced body_ must ensure that its share of any _shared collateral_ provided by its counterparties would not cease to be available to the _ring-fenced body_ as a result of the acts, omissions or insolvency of, or actions taken in relation to, a member of the _ring-fenced body?s _group_ that is not a _ring-fenced affiliate_.

16

Access to Central Counterparties and Central Securities Depositories

16.1

This Chapter applies if a _ring-fenced body_ accesses the services of:

1. (1) a _central counterparty_ whether as a _clearing member_ or otherwise; or
2. (2) a _central securities depository_ whether as a _participant_ or otherwise.

16.2

In this Chapter:

1. (1) the definitions of _central counterparty_ and _clearing member_ apply for the purposes of this Chapter whether or not the _central counterparty_ or _clearing member_ is regulated by Regulation (EU) No. 648/2012, or is established in an _EEA state_ or elsewhere; and
2. (2) the definitions of _central securities depository_ and _participant_ apply for the purposes of this Chapter whether or not the _central securities depository_ or _participant_ is regulated by Regulation (EU) No. 909/2014, or is established in an _EEA state_ or elsewhere.

16.3

For the purposes of this Chapter, if a _ring-fenced body_ accesses the services of a _central counterparty_ or a _central securities depository_ not established in the _UK_ or any part of whose operations are not subject to the law of the _UK_, the _ring-fenced body_ will be considered to comply with the _rules_ in this Chapter if it has taken necessary steps to ensure that its positions, if applicable, and assets are identifiable separately from the positions, if applicable, and assets of any other _person_ by measures that deliver outcomes comparable to those set out in the _rules_ in this Chapter.

16.4

If a _ring-fenced body_ accesses the services of a _central counterparty_ as a _clearing member_, it must ensure the positions and assets held for its account are distinguished in accounts at the _central counterparty_ from the positions and assets held for the account of any other _clearing member_ and of the _central counterparty_.

16.5

If a _ring-fenced body_ accesses the services of a _central counterparty_ through a _clearing member_, it must ensure the positions and assets held for its account are distinguished:

1. (1) in accounts at the _central counterparty_ from the positions and assets held for the account of the _clearing member_ and either:
 1. (a) the positions and assets held for the account of the _ring-fenced body_ are distinguished in accounts at the _central counterparty_ from the positions and assets held for the account of all other clients of that _clearing member_ ;
 - or
 2. (b) the value of assets required by the _central counterparty_ as margin to cover the positions held for the account of all clients of that _clearing member_ including the _ring-fenced body_ within the account at the _central counterparty_ is calculated on a gross basis, such that the value is at least equal to the sum of the margin amounts that would be required by the _central counterparty_ for each individual client within that account if each individual client were a _clearing member_ ; and
2. (2) in accounts at the _clearing member_ from the positions and assets held for the account of the _clearing member?s_ other clients and of the _clearing member_.

16.6

If a _ring-fenced body_ accesses the services of a _central securities depository_ as a _participant_, it must ensure any assets held for its account at the _central securities depository_ are distinguished in accounts at the _central securities depository_ from the assets held for the account of any other _participant_ and of the _central securities depository_.

16.7

If a _ring-fenced body_ accesses the services of a _central securities depository_ through a _participant_, it must ensure any assets held for its account are distinguished:

1. (1) in accounts at the _central securities depository_ from the assets held for the account of the _participant_ and of all other clients of that _participant_ ; and
2. (2) in accounts at the _participant_ from the assets held for the account of the _participant?s_ other clients and of the _participant_.

17

Policies Regarding Use of Exceptions to Excluded Activities and Prohibitions

17.1

For each _exception_ separately, a _ring-fenced body_ must establish, implement and maintain an effective policy that

sets out at least the following:

1. (1) the types of _exception transactions_ that are permitted to be entered into under the relevant _exceptions policy_ including details on at least the following aspects:
 1. (a) the specific types of instrument or contract which are permitted;
 2. (b) the features of instruments or contracts which are permitted, including permitted underlying collateral where the instrument or contract references underlying collateral;
 3. (c) permitted counterparties or types of counterparties; and
 4. (d) the permitted terms or maturities of instruments or contracts;
2. (2) how the types of _exception transactions_ that are permitted to be entered into and any related limit frameworks are integrated into the risk management framework of the _ring-fenced body_ including its risk appetite;
3. (3) how the _ring-fenced body_ determines that the sole or main purpose of an _exception transaction_ is:
 1. (a) for a _hedging exception transaction_ , to limit the extent to which:
 1. (i) the _ring-fenced body_ ,
 2. (ii) any _subsidiary undertaking_ of the _ring-fenced body_ ,
 3. (iii) any _sponsored structured finance vehicle_ of the _ring-fenced body_ ,
 4. (iv) any _conduit vehicle_ of the _ring-fenced body_ ,
 5. (v) another _ring-fenced body_ within the same _group_ as the _ring-fenced body_ ,
 6. (vi) a _related undertaking_ within the same _group_ as the _ring-fenced body_ , or
 7. (vii) any combination of the _undertakings_ referred to in (i) to (vi)
 2. will be adversely affected by the _specified factor_ ;
 3. (b) for a _liquid asset exception transaction_ , to manage the liquidity of the _ring-fenced body_ ; and
 4. (c) for a _collateral exception transaction_ , to provide collateral in relation to _hedging exception transactions_ ;
4. (4) which individual or committee within the _ring-fenced body_ has day to day responsibility for approval and oversight for _exception transactions_ including:
 1. (a) how, or in which circumstances, any responsibility is shared or delegated; and
 2. (b) which _exception transactions_ are escalated for approval, and the approval route including any _exception transactions_ that are required to be subject to direct approval by the _governing body_ , or a subcommittee of the _governing body_ or other senior executive committees;
5. (5) any differences in use of the _exception transactions_ between the _trading book_ and the non-trading book;
6. (6) third party documentation that the _ring-fenced body_ requires to be in place prior to execution of an _exception transaction_ ;
7. (7) how the _ring-fenced body_ identifies, manages and controls exception transactions separately from other transactions;
8. (8) how the _ring-fenced body_ considers the likely performance of _exception transactions_ in stress scenarios (both market wide and idiosyncratic); and
9. (9) a description of the internal reporting process, including significant internal reporting outputs, that the entity has put in place to monitor adherence to the _exceptions policies_.

17.2

A _ring-fenced body_ must set out the policies in 17.1 in relation to the _hedging exceptions_ separately for each _specified factor_.

17.3

In addition to 17.1, a _ring-fenced body_ must set out in its _hedging exceptions policy_ separately for each _specified factor_ :

1. (1) how the business of:
 1. (a) the _ring-fenced body_ ;
 2. (b) any _subsidiary undertaking_ of the _ring-fenced body_ ;
 3. (c) any _sponsored structured finance vehicle_ of the _ring-fenced body_ ;
 4. (d) any _conduit vehicle_ of the _ring-fenced body_ ;
 5. (e) another _ring-fenced body_ within the same _group_ as the _ring-fenced body_ ;
 6. (f) a _related undertaking_ within the same _group_ as the _ring-fenced body_ ; or
 7. (g) any combination of the undertakings referred to in (a) to (f)
2. results in exposures to the _specified factor_ ;
3. (2) how the _ring-fenced body_ separately identifies, monitors and controls those _hedging exception transactions_ it enters into which relate to customer derivative transactions for the purpose of monitoring the position risk requirement as required by Article 12(1)(a) of the _Excluded Activities and Prohibitions Order_ ;
4. (3) how the _ring-fenced body_ assesses the effectiveness of _hedging exception transactions_ including what quantitative assessments are performed; and
5. (4) the policies of the _ring-fenced body_ in relation to hedging of anticipated transactions or exposures, including the limits it places on _hedging exception transactions_ which relate to anticipated transactions or exposures and the process it follows to identify, monitor, control, report and assess _hedging exception transactions_ which relate to anticipated transactions or exposures separately from other _hedging exception transactions_.

17.4

A _ring-fenced body_ must ensure its _exceptions policies_ are lawful and act in accordance with its _exceptions policies_ as long as these policies are lawful.

17.5

A _ring-fenced body_ must ensure its _exceptions policies_ are:

1. (1) approved by the _governing body_ ; and
2. (2) reviewed by the _governing body_ at least annually taking into account the reports under 17.7 and 17.8.

17.6

A _ring-fenced body_ must put in place and implement procedures to operationalise its _exceptions policies_ including internal reporting and oversight.

17.7

A _ring-fenced body_ must ensure that its _governing body_ receives internal reports on the operation of the _exceptions policies_ at least annually, including:

1. (1) transactions entered into under each of the _exceptions policies_ ; and
2. (2) the extent to which these transactions comply with the _exceptions policies_.

17.8

1. (1) A _ring-fenced body_ must ensure that its internal audit function assesses at least annually the following matters in relation to an appropriate subset of _exceptions_ and _specified factors_ and reports its findings at least annually to its _governing body_ :

1. (a) the extent to which the _exceptions policies_ comply with the requirements of this Chapter and with the _ring-fenced body's_ statutory obligations;

2. (b) the effectiveness of the _exceptions policies_ ; and
3. (c) the effectiveness of the procedures established in compliance with this Chapter.
2. (2) A _ring-fenced body_ must ensure that its internal audit function assesses and includes in its reports under paragraph (1) all _exceptions_ and _specified factors_ at least once every three years.

18

Application of Certain PRA Rules to Ring-Fenced Bodies on a Sub- Consolidated Basis

18.1

A _ring-fenced body_ that is required under Article 11(5) of the _CRR_ to comply with obligations on a _sub-consolidated basis_ must comply with the following provisions of the _PRA_ Rulebook on that _sub-consolidated basis_ :

1. (1) the _ICAAP rules_ in the Internal Capital Adequacy Assessment Part;
2. (2) the _risk control rules_ in the Internal Capital Adequacy Assessment Part;
3. (3) the overall financial adequacy _rule_ in Internal Capital Adequacy Assessment 2.1;
4. (4) Internal Capital Adequacy Assessment 15;
5. (5) the Capital Buffers Part;
6. (6) the Internal Liquidity Adequacy Assessment Part;
7. (7) 2.1 (read with 2.2), 2.6, 2A.2, 5 and 6 of the General Organisational Requirements Part;
8. (8) 3.2 of the Skills, Knowledge and Expertise Part;
9. (9) 2.3, 2.7 and 3 of the Risk Control Part;
10. (10) 2.1(2) (read with 2.2) and 2.4 of the Group Risk Systems Part;
11. (11) the Remuneration Part;
12. (12) 2.1 of the Public Disclosure Part;
13. (13) the Benchmarking of Internal Approaches Part; and
14. (14) the Reporting Pillar 2 Part.

* Future version of 18.1 after 01/01/2027

18.2

A _ring-fenced body_ that is required under Article 11(5) of the _CRR_ to comply with obligations on a _sub-consolidated basis_ must comply with the obligations under the Capital Requirements (Country-by-Country Reporting) Regulations 2013 (SI 2013/3118) on that _sub-consolidated basis_. For the avoidance of doubt, the treatment provided for in Regulations 4 and 5 of those regulations is available (with the necessary changes) to the _ring-fenced body_ in its seeking to comply with this _rule_ on a _sub-consolidated basis_.

[Note: Art. 71, 73-76, 78-96, 98, 123, 129, 130, 140-142 of the CRD.]

* Future version of 18.2 after 01/01/2027

19

Application for Permission for Indirect Access to Inter-Bank Payment Systems

19.1

The _PRA_ directs that any _ring-fenced body_ wishing to apply for permission under Article 13 of the _Excluded

Activities and Prohibitions Order_ must:

1. (1) complete the relevant form on the _PRA_ ?s website;
2. (2) ensure the application is accompanied by information specified in the relevant form; and
3. (3) submit it in the manner set out in the relevant form.